

1 ENGROSSED HOUSE
2 BILL NO. 2933

By: Tedford and Hill of the
House

3 and

4 Reinhardt of the Senate
5
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8 An Act relating to insurance; directing that personal
9 and commercial property insurers shall file certain
10 report by specified date; providing manner in which
11 report shall be filed; providing required content of
12 report; clarifying that reports shall be treated as
13 working papers and documents; permitting Insurance
14 Commissioner to use reports to determine whether
15 market conduct examination or investigation should be
16 conducted; establishing penalty for violation;
17 amending Section 7, Chapter 345, O.S.L. 2024 (36 O.S.
18 Supp. 2025, Section 322), which relates to penalties
19 enforced by the Insurance Department; modifying
20 penalties the Insurance Commissioner may enforce;
21 amending Section 19, Chapter 345, O.S.L. 2024, as
22 amended by Section 2, Chapter 195, O.S.L. 2024 (36
23 O.S. Supp. 2025, Section 908), which relates to
24 administrative penalties enforced by the Insurance
Department; modifying administrative penalties the
Insurance Commissioner may enforce; amending 36 O.S.
2021, Section 942, which relates to motor vehicle
liability or collision policies; clarifying traffic
records not to be used by insurers in modifying rates
or determining refusal or renewal of a policy;
amending 36 O.S. 2021, Section 943, which relates to
circumstances insurers are prohibited from canceling,
increasing rates, or refusing to issue or renew motor
vehicle policies; prohibiting insurers from
canceling, refusing to renew or terminate, or
increasing policy premiums based on first claim
against policy; clarifying circumstances under which
policies may be canceled, not renewed or terminated,
or premiums increased; amending 36 O.S. 2021, Section
961, which relates to premium discounts or rate

1 reductions for resistance to tornado or other wind
2 events; modifying circumstances under which insurance
3 companies shall provide a premium discount or rate
4 reduction; modifying citations; amending 36 O.S.
5 2021, Section 962, which relates to premium discount
6 or rate reduction for resistance to tornado or other
7 wind events for retrofit properties; modifying
8 circumstances under which insurance companies shall
9 provide a premium discount or rate reduction;
10 modifying citations; amending 36 O.S. 2021, Section
11 1211, which relates to civil penalties related to
12 unfair methods of competition or unfair and deceptive
13 acts or practices; modifying civil penalties;
14 amending 36 O.S. 2021, Section 1204, as amended by
15 Section 16, Chapter 360, O.S.L. 2024 (36 O.S. Supp.
16 2025, Section 1204), which relates to unfair methods
17 of competition and unfair or deceptive acts or
18 practices; directing insurers providing certain
19 additional coverage consider all building codes as
20 being strictly enforced; amending 36 O.S. 2021,
21 Section 1212, which relates to powers vested in the
22 Insurance Commissioner; modifying applicability of
23 powers; amending 36 O.S. 2021, Section 1250.4, which
24 relates to claim files and responses to inquiries;
modifying timeline for response to Insurance
Commissioner inquiries; establishing that the
Insurance Commissioner's dispute resolution program
shall be subject to the laws and protections of the
Dispute Resolution Act; establishing that only the
policyholder may request mediation; making mediation
voluntary except under listed circumstances; defining
term; requiring claims to be submitted and fully
processed through the Insurance Department's consumer
complaint program before qualifying for mediation;
requiring all parties to negotiate in good faith;
clarifying dispute is not required to be resolved in
mediation; providing procedure for rescinding
settlement by policyholder; providing procedure for
mediation conference; establishing when an insurer
will be deemed to have failed to appear; establishing
penalty for violation by insurer; permitting
Insurance Commissioner rule-making authority;
amending 36 O.S. 2021, Section 1250.6, which relates
to property and casualty insurers, receipt of claims,
and inquiries from the Insurance Commissioner;
modifying timeline for insurers to acknowledge
receipt of claim; requiring acknowledgement include

1 Homeowner Claims Bill of Rights; requiring insurer to
2 send detailed estimate where applicable; requiring
3 insurers issuing a personal lines residential
4 property insurance policy to include Homeowner Claims
5 Bill of Rights; providing minimum statement of
6 Homeowner Claims Bill of Rights; establishing
7 violation shall be a violation of the Unfair Claims
8 Settlement Practices Act; amending 36 O.S. 2021,
9 Section 1250.7, which relates to denial or acceptance
10 of claims by property and casualty insurer; modifying
11 timeline for acceptance or denial of claim; requiring
12 claimant be notified in writing; requiring insurer
13 provide reasonable explanation of payment less than
14 specified in insurer's detailed estimate;
15 establishing interest rate for untimely payments;
16 prohibiting the waiver of subsection; clarifying
17 failure to comply does not form sole basis for
18 private cause of action; establishing policyholder
19 right to request a physical, in-person inspection;
20 amending 36 O.S. 2021, Section 1250.14, which relates
21 to violations and penalties of the Unfair Claims
22 Settlement Practices Act; modifying penalties the
23 Commissioner may enforce under the Unfair Claims
24 Settlement Practices Act; amending 36 O.S. 2021,
Section 3639.1, which relates to personal residential
insurance; prohibiting certain terminations;
prohibiting certain actions by insurers for claims
occurring more than five years before policy
effective date or renewal; directing that insurers
shall not refuse underwriting risk for homeowner's
insurance in certain cases; prohibiting certain
actions by insurers for certain claims; providing
exceptions; directing that insurers may only consider
at-fault motor vehicle claims history in provided
time frame; prohibiting insurer from reducing
coverage or refusing to issue or renew homeowner's
policy based solely on use of aerial imaging;
prohibiting insurers from reducing coverage or
refusing to issue or renew homeowner's policy based
solely on age of roof less than fifteen years old;
requiring insurers to allow homeowners have a roof
inspection; providing procedure for calculating
roof's age; providing for codification; and providing
an effective date.

1 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

2 SECTION 1. NEW LAW A new section of law to be codified
3 in the Oklahoma Statutes as Section 311.5 of Title 36, unless there
4 is created a duplication in numbering, reads as follows:

5 A. By March 31, 2028, and on a quarterly basis thereafter, each
6 insurer authorized to write personal and commercial property
7 insurance in this state shall file with the Oklahoma Insurance
8 Department a supplemental report with information regarding personal
9 and commercial residential property insurance policies in this
10 state. The report shall be filed electronically in the manner and
11 form prescribed by the Insurance Commissioner and in accordance with
12 any instructions on the Department's website. The supplemental
13 report shall include separate information for personal lines,
14 property policies, and commercial lines property policies. The
15 report shall, at a minimum, include the following information for
16 each ZIP code broken down by month:

- 17 1. Total number of policies in force at the end of each month;
- 18 2. Total number of policies canceled;
- 19 3. Total number of policies nonrenewed;
- 20 4. Number of new policies written;
- 21 5. Total written premium;
- 22 6. Is the insurer actively writing policies;
- 23 7. Number of policies that exclude wind coverage;
- 24 8. Number of new claims opened during each month;

1 9. Number of claims closed during each month;

2 10. Number of claims pending at the end of each month; and

3 11. Number of claims in which either the insurer or insured
4 invoked any form of alternative dispute resolution.

5 B. Supplemental quarterly reports filed with the Insurance
6 Commissioner pursuant to this section shall be treated as working
7 papers and documents as set out in subsection F of Section 309.4 of
8 this title.

9 C. The Insurance Commissioner may use supplemental quarterly
10 reports to assist in determining whether a market conduct
11 examination or investigation of an insurer should be conducted. For
12 purposes of completing a market conduct examination of any company
13 under Sections 309.1 through 309.7 of this title, the Insurance
14 Commissioner may, in the sole discretion of the Insurance
15 Commissioner, use supplemental quarterly reports or amendments or
16 addendums to such statements to assist in determining compliance
17 with the laws of this state and rules adopted by the Insurance
18 Commissioner and to support any regulatory actions initiated by the
19 Insurance Commissioner.

20 D. For any repeated violation of this section, the Insurance
21 Commissioner may, after notice and opportunity for a hearing,
22 subject an insurer to a civil penalty of up to One Thousand Dollars
23 (\$1,000.00) for each occurrence, along with any other penalties set
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1 forth in applicable law. The civil penalty may be enforced in the
2 same manner in which civil judgments may be enforced.

3 SECTION 2. AMENDATORY Section 7, Chapter 345, O.S.L.
4 2024 (36 O.S. Supp. 2025, Section 322), is amended to read as
5 follows:

6 Section 322. A. The Insurance Commissioner may, if the
7 Commissioner finds that any person or organization has violated the
8 provisions of any statute, rule, bulletin, or order for which the
9 Commissioner has jurisdiction, impose a penalty of not more than
10 ~~Five Thousand Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00)
11 for each such violation. In addition to or in lieu of any fine
12 amount, the Insurance Commissioner may refuse to renew, suspend, put
13 on probation, or revoke an insurer's certificate of authority,
14 licenses, or any other registration or similar approval to conduct
15 business in Oklahoma issued by the Insurance Commissioner. Such
16 penalties may be in addition to any other penalty provided by law.

17 B. The Insurance Commissioner may also direct the person or
18 organization against whom the order was issued to make complete
19 restitution, in the form, manner, and amount and within the time
20 period determined by the Commissioner, to all Oklahoma residents,
21 Oklahoma insureds, and entities operating in Oklahoma damaged by the
22 violation or failure to comply.

23 C. No penalty shall be imposed except upon a written order of
24 the Commissioner or the appointed independent hearing examiner,

1 stating the findings of the Commissioner or the appointed
2 independent hearing examiner after notice and opportunity for a
3 hearing in accordance with Article II of the Administrative
4 Procedures Act.

5 SECTION 3. AMENDATORY Section 19, Chapter 345, O.S.L.
6 2024, as amended by Section 2, Chapter 195, O.S.L. 2024 (36 O.S.
7 Supp. 2025, Section 908), is amended to read as follows:

8 Section 908. A. The Insurance Commissioner may, if the
9 Commissioner finds that any person or organization has violated the
10 provisions of any statute, rule, or order for which the Commissioner
11 has jurisdiction, impose a penalty of not more than ~~Five Thousand~~
12 ~~Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00) for each such
13 violation. In addition to or in lieu of any fine amount, the
14 Insurance Commissioner may refuse to renew, suspend, put on
15 probation, or revoke an insurer's certificate of authority,
16 licenses, or any other registration or similar approval to conduct
17 business in Oklahoma issued by the Insurance Commissioner. Such
18 penalties may be in addition to any other penalty provided by law.

19 B. The Insurance Commissioner may also direct the person or
20 organization against whom the order was issued to make complete
21 restitution, in the form, manner, and amount and within the time
22 period determined by the Commissioner, to all Oklahoma residents,
23 Oklahoma insureds, and entities operating in Oklahoma damaged by the
24 violation or failure to comply.

1 C. No penalty shall be imposed except upon a written order of
2 the Commissioner or the appointed independent hearing examiner,
3 stating the findings of the Commissioner or the appointed
4 independent hearing examiner after notice and opportunity for a
5 hearing in accordance with Article II of the Administrative
6 Procedures Act.

7 SECTION 4. AMENDATORY 36 O.S. 2021, Section 942, is
8 amended to read as follows:

9 Section 942. Any insurance carrier that issues motor vehicle
10 liability or collision insurance policies in this state shall not
11 establish or apply premium rates, increase premium rates, cancel a
12 policy, or refuse to issue or renew a policy, based on any traffic
13 record ~~maintained by the Department of Public Safety,~~ including, but
14 not limited to, traffic complaints, traffic citations or other legal
15 forms of traffic charges, and accident reports, which covers a
16 period of time more than three (3) years prior to the date the
17 insurance carrier makes a determination to take any such action;
18 provided, however, those offenses that are provided for in
19 subsection C of Section 941 of this title and the offense of
20 reckless driving as provided for in Section 11-901 of Title 47 of
21 the Oklahoma Statutes may be considered by an insurance carrier for
22 a period of not more than five (5) years.

23 SECTION 5. AMENDATORY 36 O.S. 2021, Section 943, is
24 amended to read as follows:

1 Section 943. A. No insurance carrier who issues motor vehicle
2 policies in this state shall use traffic complaints, traffic
3 citations or other legal forms of traffic charges as a basis for
4 cancellation of a motor vehicle insurance policy, increasing premium
5 rates for a motor vehicle insurance policy or refusing to issue or
6 renew a motor vehicle insurance policy, where:

- 7 1. ~~the~~ The insured was acquitted of the charge;
- 8 2. ~~the~~ The insured was arrested and no charges were filed; or
- 9 3. ~~the~~ The insured was arrested and the charges were dismissed.

10 B. No insurer shall cancel or refuse to renew a motor vehicle
11 policy which has been in effect more than forty-five (45) days
12 solely because the insured filed a first claim against the policy.
13 Nothing in this subsection shall be construed to prevent the
14 cancellation, nonrenewal or other termination, or increase in
15 premium for any of the following reasons:

- 16 1. Nonpayment of premium;
- 17 2. Discovery of fraud or material misrepresentation in the
18 procurement of the insurance or with respect to any claims submitted
19 thereunder;
- 20 3. Offenses provided for in subsection C of Section 941 of this
21 title;
- 22 4. Offenses provided for in Section 11-901 of Title 47 of the
23 Oklahoma Statutes;

1 5. A determination by the Insurance Commissioner that the
2 continuation of the policy would place the insurer in violation of
3 the insurance laws of this state;

4 6. A violation of any of the terms and conditions of the
5 policy;

6 7. The named insured failed to disclose fully his or her motor
7 vehicle accident and moving traffic violations for the preceding
8 thirty-six (36) months if called for in the application;

9 8. An insured made a false or fraudulent claim or knowingly
10 aided or abetted another in the presentation of such a claim; or

11 9. The insured automobile is:

12 a. so mechanically defective that its operation might
13 endanger public safety,

14 b. used in carrying passengers for hire or compensation
15 (the use of an automobile for a car pool shall not be
16 considered use of an automobile for hire or
17 compensation),

18 c. used in the business of transportation of flammables
19 or explosives,

20 d. an authorized emergency vehicle, or

21 e. subject to an inspection law and has not been
22 inspected or, if inspected, has failed to qualify.

23 C. The Insurance Commissioner may suspend or revoke, after
24 notice and hearing, the certificate of authority to transact

1 insurance business in this state of any insurance carrier violating
2 the provisions of this section or may censure the insurer or impose
3 a fine.

4 SECTION 6. AMENDATORY 36 O.S. 2021, Section 961, is
5 amended to read as follows:

6 Section 961. A. ~~Commencing on April 1, 2018, insurance~~
7 Insurance companies shall provide a premium discount or insurance
8 rate reduction in an amount and manner as established in subsection
9 D of this section and pursuant to Section ~~3~~ 963 of this ~~act only~~
10 ~~when the company determines that the premium discount or rate~~
11 ~~reduction is actuarially justified and there is sufficient and~~
12 ~~credible evidence of cost savings~~ title, which can be attributed to
13 the construction standards set forth in subsection B of this
14 section. A premium discount or rate reduction shall be available
15 under the terms specified in this section to any owner who builds or
16 locates a new insurable property in the State of Oklahoma to resist
17 loss due to tornado or other catastrophic windstorm events.
18 ~~Insurance companies shall be required to offer such a premium~~
19 ~~discount or rate reduction only when the insurer determines they are~~
20 ~~actuarially justified and there is sufficient and credible evidence~~
21 ~~of cost savings, which can be attributed to the construction~~
22 ~~standards set forth in subsection B of this section.~~ In addition,
23 insurance companies may also offer additional adjustments in
24

1 deductible, other risk differentials, or a combination thereof,
2 collectively referred to as other adjustments.

3 B. To obtain the premium discount, rate reduction, or other
4 adjustment provided in this section, an insurable property located
5 in this state shall be certified as constructed in accordance with
6 Appendix ~~¥~~ X of the ~~2015~~ 2018 Oklahoma Uniform Building Code, as
7 amended, including all tornado mitigation construction requirements,
8 as long as its standards are equal to or greater than the FORTIFIED
9 Home High Wind and Hail Standards as certified by the Institute for
10 Business and Home Safety (IBHS), or the FORTIFIED Home High Wind and
11 Hail Standards as may from time to time be adopted by the Institute
12 for Business and Home Safety or successor entity. An insurable
13 property shall be certified as conforming to the applicable building
14 code only after an inspection of the insurable property has been
15 satisfactorily completed by a certified or licensed building
16 inspector and certified to be conforming to the applicable building
17 code including all high wind and hail mitigation construction
18 requirements. An insurable property shall be certified as
19 conforming to the FORTIFIED Home High Wind and Hail Standards only
20 after evaluation and certification by an evaluator certified
21 pursuant to the FORTIFIED Home High Wind and Hail Standards.

22 C. An owner of insurable property claiming a premium discount,
23 rate reduction, or other adjustment pursuant to this section shall
24 maintain sufficient certification records and construction records

1 including, but not limited to, a certification of compliance with
2 the applicable building code or the FORTIFIED Home High Wind and
3 Hail Standards provided in subsection B of this section, receipts
4 from contractors, receipts for materials and records from local
5 building officials. The records shall be subject to audit by the
6 Insurance Commissioner, or his or her representatives, and copies of
7 any such records shall be presented to the insurer or potential
8 insurer of a property owner before the premium discount, rate
9 reduction, or other adjustment becomes effective for the insurable
10 property.

11 D. Insurers that write policies that are subject to the premium
12 discount or rate reduction in this section and that are required to
13 submit rates and rating plans to the Commissioner pursuant to
14 Section 987 of ~~Title 36 of the Oklahoma Statutes~~ this title shall
15 submit a rating plan certified by their actuary ~~as actuarially~~
16 ~~justified~~ providing for the premium discount or rate reduction
17 described in this section. An insurer is not required to provide
18 the same amount of premium discount, rate reduction, or other
19 adjustment for a building code insurable property as the insurer
20 would to an insurable property conforming to the FORTIFIED Home High
21 Wind and Hail Standards. A premium discount, rate reduction, or
22 other adjustment shall only apply to policies that provide wind or
23 hail coverage and to that portion of the premium for wind or hail
24 coverage. A premium discount, rate reduction, or other adjustment

1 shall apply exclusively to the wind and hail premium applicable to
2 improved insurable property. If an insurer already offers ~~an~~
3 ~~actuarially justified~~ a hail resistance discount, that hail-related
4 discount shall be deemed as having met the requirements of this act
5 as it pertains to hail-related discounts or rate reductions and no
6 additional hail-related discount or rate reduction shall be
7 required. If an insurer already offers ~~an actuarially justified~~ a
8 discount for IBHS FORTIFIED Home standards, that discount shall be
9 deemed as having met the requirements of this act as it pertains to
10 wind-related discounts or rate reductions and no additional wind-
11 related discount or rate reduction shall be required. Insurers
12 shall apply any applicable premium discount, rate reduction, or
13 other adjustment to the wind and hail premium at the policy renewal
14 that follows the submission of the certification to the insurer. At
15 the time of a policy renewal for which a premium discount, rate
16 reduction, or other adjustment has previously been made, the insurer
17 may request documentation or recertification that the fortified
18 standards as described in subsection C of this section continue to
19 be met. In addition to the requirements of this section, an insurer
20 may voluntarily offer any other mitigation adjustment that the
21 insurer deems appropriate.

22 SECTION 7. AMENDATORY 36 O.S. 2021, Section 962, is
23 amended to read as follows:
24

1 Section 962. A. ~~Commencing on April 1, 2018, insurance~~
2 Insurance companies shall provide a premium discount or insurance
3 rate reduction in an amount and manner as established in subsection
4 D of this section and pursuant to Section ~~3~~ 963 of this ~~act only~~
5 ~~when the company determines that the premium discount or rate~~
6 ~~reduction is actuarially justified and there is sufficient and~~
7 ~~credible evidence of cost savings~~ title, which can be attributed to
8 the construction standards set forth in subsection B of this
9 section. A premium discount or rate reduction shall be available
10 under the terms specified in this section to any owner who retrofits
11 his or her insurable property located in the State of Oklahoma to
12 resist loss due to tornado or other catastrophic windstorm events.
13 ~~Insurance companies shall be required to offer a premium discount or~~
14 ~~rate reduction only when the insurer has deemed the adjustments to~~
15 ~~be actuarially justified and there is sufficient and credible~~
16 ~~evidence of cost savings, which can be attributed to the~~
17 ~~construction standards set forth in subsection B of this section.~~
18 In addition, insurance companies may also offer additional
19 adjustments in deductible, other risk differentials, or a
20 combination thereof, collectively referred to as other adjustments.

21 B. To obtain the premium discount, rate reduction, or other
22 adjustment provided in this section, an insurable property shall be
23 retrofitted to the FORTIFIED Home High Wind and Hail Standards, as
24 may from time to time be adopted by the Institute for Business and

1 Home Safety (IBHS). Wind-Zone-3-HUD-Code manufactured homes
2 installed on a permanent foundation and retrofitted as defined in
3 the FORTIFIED Home High Wind and Hail Standards, as may from time to
4 time be adopted by the Institute for Business and Home Safety, shall
5 be eligible for the premium discount or rate reduction provided in
6 this section. An insurable property shall be certified as
7 conforming to FORTIFIED Home High Wind and Hail Standards only after
8 evaluation and certification by an evaluator certified pursuant to
9 the FORTIFIED Home High Wind and Hail Standards.

10 C. An owner of insurable property claiming a premium discount,
11 rate reduction, or other adjustment pursuant to this section shall
12 maintain sufficient certification records and construction records
13 including, but not limited to, a certification of compliance with
14 the FORTIFIED Home High Wind and Hail Standards as provided in
15 subsection B of this section, receipts from contractors, and
16 receipts for materials. The records shall be subject to audit by
17 the Insurance Commissioner, or his or her representatives, and
18 copies of any such records shall be presented to the insurer or
19 potential insurer of a property owner before the premium discount,
20 rate reduction, or other adjustment becomes effective for the
21 insurable property.

22 D. Insurers that write policies that are subject to the premium
23 discount or rate reduction in this section and that are required to
24 submit rates and rating plans to the Commissioner pursuant to

1 Section 987 of ~~Title 36 of the Oklahoma Statutes~~ this title shall
2 submit rating plans certified by their actuary ~~as actuarially~~
3 ~~justified~~ providing for the premium discounts or rate reductions
4 described in this section. A premium discount, rate reduction, or
5 other adjustment shall only apply to policies that provide wind or
6 hail coverage and to that portion of the premium for wind or hail
7 coverage. A premium discount, rate reduction, or other adjustment
8 shall apply exclusively to the wind and hail premium applicable to
9 improved insurable property. If an insurer already offers ~~an~~
10 ~~actuarially justified~~ a hail resistance discount, that hail-related
11 discount shall be deemed as having met the requirements of this act
12 as it pertains to hail-related discounts or rate reductions and no
13 additional hail-related discount or rate reduction shall be
14 required. If an insurer already offers ~~an actuarially justified~~ a
15 discount for IBHS FORTIFIED Home standards, that discount shall be
16 deemed as having met the requirements of this act as it pertains to
17 wind-related discounts or rate reductions and no additional wind-
18 related discount or rate reduction shall be required. Insurers
19 shall apply the premium discount, rate reduction, or other
20 adjustment to the wind premium at the policy renewal that follows
21 the submission of the certification to the insurer. At the time of
22 a policy renewal for which a premium discount, rate reduction, or
23 other adjustment has previously been made, the insurer may request
24 documentation or recertification that the fortified standards as

1 described in subsection C of this section continue to be met. In
2 addition to the requirements of this section, an insurer may
3 voluntarily offer any other mitigation adjustment that the insurer
4 deems appropriate.

5 SECTION 8. AMENDATORY 36 O.S. 2021, Section 1211, is
6 amended to read as follows:

7 Section 1211. A. Any person who violates a cease and desist
8 order of the Insurance Commissioner issued and served pursuant to
9 the provisions of Section 1207 of this title, after it has become
10 final, and while such order is in effect, shall, upon proof thereof
11 to the satisfaction of the court, forfeit and pay to the State of
12 Oklahoma a civil penalty of not ~~less than One Hundred Dollars~~
13 ~~(\$100.00), nor more than One Thousand Dollars (\$1,000.00)~~ Twenty-
14 five Thousand Dollars (\$25,000.00) for each violation.

15 B. The Commissioner may also direct the person against whom the
16 order was issued to make complete restitution, in the form, manner,
17 and amount and within the time period determined by the
18 Commissioner, to all Oklahoma residents, Oklahoma insureds, and
19 entities operating in Oklahoma damaged by the violation or failure
20 to comply.

21 SECTION 9. AMENDATORY 36 O.S. 2021, Section 1204, as
22 amended by Section 16, Chapter 360, O.S.L. 2024 (36 O.S. Supp. 2025,
23 Section 1204), is amended to read as follows:

1 Section 1204. The following are hereby defined as unfair
2 methods of competition and unfair and deceptive acts or practices in
3 the business of insurance:

4 1. Misrepresentations and false advertising of policy
5 contracts. Making, issuing, circulating, or causing to be made,
6 issued or circulated, any estimate, illustration, circular or
7 statement misrepresenting the terms of any policy issued or to be
8 issued or the benefits or advantages promised thereby or the
9 dividends or share of the surplus to be received thereon, or making
10 any false or misleading statement as to the dividends or share of
11 surplus previously paid on similar policies, or making any
12 misleading representation or any misrepresentation as to the
13 financial condition of any insurer, or as to the legal reserve
14 system upon which any life insurer operates, or using any name or
15 title of any policy or class of policies misrepresenting the true
16 nature thereof, or making any misrepresentation to any policyholder
17 insured in any company for the purpose of inducing or tending to
18 induce such policyholder to lapse, forfeit, or surrender his or her
19 insurance;

20 2. False information and advertising generally. Making,
21 publishing, disseminating, circulating, or placing before the
22 public, or causing, directly or indirectly, to be made, published,
23 disseminated, circulated, or placed before the public, in a
24 newspaper, magazine, or other publication, or in the form of a

1 notice, circular, pamphlet, letter or poster, or over any radio or
2 television station, or in any other way an advertisement,
3 announcement or statement containing any assertion, representation
4 or statement with respect to the business of insurance or with
5 respect to any person in the conduct of his or her insurance
6 business which is untrue, deceptive or misleading. No insurance
7 company shall issue, or cause to be issued, any policy of insurance
8 of any type or description upon life, or property, real or personal,
9 whenever such policy of insurance is to be furnished or delivered to
10 the purchaser or bailee of any property, real or personal, as an
11 inducement to purchase or bail such property, real or personal, and
12 no other person shall advertise, offer or give free insurance,
13 insurance without cost or for less than the approved or customary
14 rate, in connection with the sale or bailment of real or personal
15 property, except as provided in Section 4101 of this title. No
16 person that is not an insurer shall assume or use any name which
17 deceptively infers or suggests that it is an insurer;

18 3. Defamation. Making, publishing, disseminating, or
19 circulating, directly or indirectly, or aiding, abetting or
20 encouraging the making, publishing, disseminating or circulating of
21 any oral or written statement or any pamphlet, circular, article or
22 literature which is false, or maliciously critical of or derogatory
23 to the financial condition of an insurer, and which is calculated to
24 injure any person engaged in the business of insurance;

1 4. Boycott, coercion and intimidation. Entering into any
2 agreement to commit, or by any concerted action committing, any act
3 of boycott, coercion or intimidation resulting in or tending to
4 result in unreasonable restraint of, or monopoly in, the business of
5 insurance;

6 5. False financial statements. Filing with any supervisory or
7 other public official, or making, publishing, disseminating,
8 circulating or delivering to any person, or placing before the
9 public or causing directly or indirectly, to be made, published,
10 disseminated, circulated, delivered to any person or placed before
11 the public, any false statement of financial condition of an insurer
12 with intent to deceive.

13 Making any false entry in any book, report or statement of any
14 insurer with intent to deceive any agent or examiner lawfully
15 appointed to examine into its condition or into any of its affairs,
16 or any public official to whom such insurer is required by law to
17 report, or who has authority by law to examine into its condition or
18 into any of its affairs, or, with like intent, willfully omitting to
19 make a true entry of any material fact pertaining to the business of
20 such insurer in any book, report or statement of such insurer;

21 6. Stock operations and advisory board contracts. Issuing or
22 delivering or permitting agents, officers, or employees to issue or
23 deliver agency company stock or other capital stock, or benefit
24 certificates or shares in any common-law corporation, or securities

1 or any special or advisory board contracts or other contracts of any
2 kind promising returns and profits as an inducement to insurance;

3 7. Unfair discrimination.

4 (a) Making or permitting any unfair discrimination between
5 individuals of the same class and equal expectation of
6 life in the rates charged for any contract of life
7 insurance or of life annuity or in the dividends or
8 other benefits payable thereon, or in any other of the
9 terms and conditions of such contract.

10 (b) Making or permitting any unfair discrimination between
11 individuals of the same class and of essentially the
12 same hazard in the amount of premium, policy fees, or
13 rates charged for any policy or contract of accident
14 or health insurance or in the benefits payable
15 thereunder, or in any of the terms or conditions of
16 such contract, or in any other manner whatever.

17 (c) As to kinds of insurance other than life and accident
18 and health, no person shall make or permit any unfair
19 discrimination in favor of particular persons, or
20 between insureds or subjects of insurance having
21 substantially like insuring, risk, and exposure
22 factors, or expense elements, in the terms or
23 conditions of any insurance contract, or in the rate
24 or amount of premium charged therefor. This paragraph

1 shall not apply as to any premium rate in effect
2 pursuant to Article 9 of the Oklahoma Insurance Code;

3 8. Rebates.

4 (a) Except as otherwise expressly provided by law,
5 knowingly permitting or offering to make or making any
6 contract of insurance or agreement as to such contract
7 other than as plainly expressed in the contract issued
8 thereon; or paying or allowing, or giving or offering
9 to pay, allow or give, directly or indirectly, as
10 inducement to any contract of insurance, any rebate of
11 premiums payable on the contract, or any special favor
12 or advantage in the dividends or other benefits
13 thereon, or any valuable consideration or inducement
14 whatever not specified in the contract; except in
15 accordance with an applicable rate filing, rating plan
16 or rating system filed with and approved by the
17 Insurance Commissioner; or giving or selling or
18 purchasing or offering to give, sell, or purchase as
19 inducement to such insurance, or in connection
20 therewith, any stocks, bonds or other securities of
21 any company, or any dividends or profits accrued
22 thereon, or anything of value whatsoever not specified
23 in the contract or receiving or accepting as
24 inducement to contracts of insurance, any rebate of

1 premium payable on the contract, or any special favor
2 or advantage in the dividends or other benefit to
3 accrue thereon, or any valuable consideration or
4 inducement not specified in the contract.

5 (b) Nothing in paragraph 7 or subparagraph (a) of this
6 paragraph shall be construed as including within the
7 definition of discrimination or rebates any of the
8 following practices:

9 (1) in the case of any contract of life insurance or
10 life annuity, paying bonuses to policyholders or
11 otherwise abating their premiums in whole or in
12 part out of surplus accumulated from
13 nonparticipating insurance, provided that any
14 such bonuses or abatement of premiums shall be
15 fair and equitable to policyholders and for the
16 best interest of the company and its
17 policyholders,

18 (2) in the case of life or accident and health
19 insurance policies issued on the industrial debit
20 or weekly premium plan, making allowance to
21 policyholders who have continuously for a
22 specified period made premium payments directly
23 to an office of the insurer in an amount which
24

1 fairly represents the saving in collection
2 expense,

3 (3) making a readjustment of the rate of premium for
4 a policy based on the loss or expense experience
5 thereunder, at the end of the first or any
6 subsequent policy year of insurance thereunder,
7 which may be made retroactive only for such
8 policy year,

9 (4) in the case of life insurance companies, allowing
10 its bona fide employees to receive a commission
11 on the premiums paid by them on policies on their
12 own lives,

13 (5) issuing life or accident and health policies on a
14 salary saving or payroll deduction plan at a
15 reduced rate commensurate with the savings made
16 by the use of such plan, and

17 (6) paying commissions or other compensation to duly
18 licensed agents or brokers, or allowing or
19 returning to participating policyholders, members
20 or subscribers, dividends, savings or unabsorbed
21 premium deposits.

22 (c) As used in this section, the word "insurance" includes
23 suretyship and the word "policy" includes bond;
24

1 9. Coercion prohibited. Requiring as a condition precedent to
2 the purchase of, or the lending of money upon the security of, real
3 or personal property, that any insurance covering such property, or
4 liability arising from the ownership, maintenance or use thereof, be
5 procured by or on behalf of the vendee or by the borrower in
6 connection with such purchase or loan through any particular person
7 or agent or in any particular insurer, or requiring the payment of a
8 reasonable fee as a condition precedent to the replacement of
9 insurance coverage on mortgaged property at the anniversary date of
10 the policy; provided, however, that this provision shall not prevent
11 the exercise by any such vendor or lender of the right to approve or
12 disapprove any insurer selected to underwrite the insurance, but any
13 disapproval of any insurer shall be on reasonable grounds;

14 10. Inducements. No insurer, agent, broker, solicitor, or
15 other person shall, as an inducement to insurance or in connection
16 with any insurance transaction, provide in any policy for or offer,
17 sell, buy, or offer or promise to buy, sell, give, promise, or allow
18 to the insured or prospective insured or to any other person in his
19 or her behalf in any manner whatsoever:

20 (a) any employment,

21 (b) any shares of stock or other securities issued or at
22 any time to be issued or any interest therein or
23 rights thereto,

- 1 (c) any advisory board contract, or any similar contract,
2 agreement or understanding, offering, providing for,
3 or promising any special profits,
4 (d) any prizes, goods, wares, merchandise, or tangible
5 property of an aggregate value in excess of One
6 Hundred Dollars (\$100.00), or
7 (e) any special favor, advantage or other benefit in the
8 payment, method of payment or credit for payment of
9 the premium through the use of credit cards, credit
10 card facilities, credit card lists, or wholesale or
11 retail credit accounts of another person. The
12 provisions of this paragraph shall not apply to
13 individual policies insuring against loss resulting
14 from bodily injury or death by accident as defined by
15 Article 44 of the Oklahoma Insurance Code;

16 11. Premature disposal of premium notes prohibited. No insurer
17 or agent thereof shall hypothecate, sell, or dispose of a promissory
18 note received in payment of any part of a premium on a policy of
19 insurance applied for prior to the delivery of the policy;

20 12. Fraudulent statement in application. Any insurance agent,
21 examining physician, or other person who knowingly or willfully
22 makes a false or fraudulent statement or representation in or
23 relative to an application for insurance, or who makes any such
24

1 statement to obtain a fee, commission, money, or benefit, shall be
2 guilty of a misdemeanor;

3 13. Deceptive use of financial institution's name in
4 notification or solicitation. Verbally or by any other means
5 notifying or soliciting any person in a manner that:

6 (a) mentions the name of an unrelated and unaffiliated
7 financial institution,

8 (b) mentions an insurance product or the possible lack of
9 insurance coverage,

10 (c) does not mention the actual or trade name of the
11 insurance agency or company on whose behalf the
12 notification or solicitation is provided, and

13 (d) thereby creates an impression or implication,
14 including by omission, that the financial institution
15 or a financial-institution-authorized entity is or may
16 be the one making the notification or solicitation.

17 Nothing in this paragraph shall be interpreted to prohibit the
18 reference to or use of the name of a financial institution made
19 pursuant to a contractual agreement between the insurer and the
20 financial institution; ~~and~~

21 14. No insurer or prepaid vision plan organization as defined
22 in Section ~~4~~ 6972 of this ~~act~~ title which offers multiple prepaid
23 vision plans may require as a condition of participation in any one
24 prepaid vision plan that a vision care provider participate in any

1 of the other prepaid vision plans offered by the insurer or prepaid
2 vision plan organization; and

3 15. Insurers providing additional coverage for an additional
4 premium as an exception to ordinance or law exclusions shall
5 consider all building codes as being strictly enforced.

6 SECTION 10. AMENDATORY 36 O.S. 2021, Section 1212, is
7 amended to read as follows:

8 Section 1212. The powers vested in the Commissioner by this
9 article shall be additional to any other powers to enforce
10 penalties, fines or forfeitures authorized by law with respect to
11 ~~the methods, acts and practices hereby declared to be unfair or~~
12 ~~deceptive~~ violations of this title.

13 SECTION 11. AMENDATORY 36 O.S. 2021, Section 1250.4, is
14 amended to read as follows:

15 Section 1250.4. A. An insurer's claim files shall be subject
16 to examination by the Insurance Commissioner or by duly appointed
17 designees. Such files shall contain all notes and work papers
18 pertaining to a claim in such detail that pertinent events and the
19 dates of such events can be reconstructed. In addition, the
20 Insurance Commissioner, authorized employees and examiners shall
21 have access to any of an insurer's files that may relate to a
22 particular complaint under investigation or to an inquiry or
23 examination by the Insurance Department.

1 B. Any person subject to the jurisdiction of the Commissioner,
2 upon receipt of any inquiry from the Commissioner shall, within
3 ~~twenty (20)~~ fourteen (14) calendar days from the date of receipt of
4 the inquiry, furnish the Commissioner with an adequate response to
5 the inquiry. The Commissioner may, upon good cause shown and on a
6 case-by-case basis, extend the time allowed for a response for up to
7 seven (7) additional calendar days. Any inquiry or response subject
8 to this subsection shall be delivered electronically. An extension
9 of fifteen (15) days shall be granted if an inquiry is made by
10 written request.

11 C. Every insurer, upon receipt of any pertinent written
12 communication including but not limited to ~~e-mail~~ email or other
13 forms of written electronic communication, or documentation by the
14 insurer of a verbal communication from a claimant which reasonably
15 suggests that a response is expected, shall, within ~~thirty (30)~~
16 fourteen (14) calendar days after receipt thereof, furnish the
17 claimant with an adequate response to the communication.

18 D. Any violation by an insurer of this section shall subject
19 the insurer to discipline including a civil penalty of not ~~less than~~
20 ~~One Hundred Dollars (\$100.00) nor more than Five Thousand Dollars~~
21 ~~(\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00).

22 SECTION 12. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 1250.4a of Title 36, unless
24 there is created a duplication in numbering, reads as follows:

1 A. The Insurance Commissioner's dispute resolution program
2 shall help consumers and insurance companies effectively,
3 economically, fairly, and timely resolve disputes with persons or
4 entities subject to the jurisdiction of the Insurance Commissioner
5 and related to insurance or service warranty claims. The dispute
6 resolution program shall be subject to the laws and protections of
7 the Dispute Resolution Act, Sections 1801 through 1813 of Title 12
8 of the Oklahoma Statutes, and the rules promulgated thereto.

9 B. Mediation may be requested only by the policyholder, as a
10 first-party claimant or the insurer.

11 C. Mediation is voluntary except that insurers shall
12 participate in any mediation requested by a first-party claimant
13 that meets the following criteria:

14 1. Involves an insurance claim under a personal residential
15 insurance policy or personal automobile insurance policy; and

16 2. No civil litigation has commenced relating to the claim to
17 be mediated.

18 D. For purposes of this section, the term "claim" refers to any
19 dispute between an insurer and a policyholder relating to a material
20 issue of fact other than a dispute:

21 1. With respect to which the insurer has a reasonable basis to
22 suspect fraud;

1 2. When, based on all the information presented to the
2 Insurance Commissioner as to the cause of loss, there appears to be
3 no coverage under the policy;

4 3. With respect to which the insurer has a reasonable basis to
5 believe that the policyholder has intentionally made a material
6 misrepresentation of fact which is relevant to the claim, and the
7 entire request for payment of a loss has been denied on the basis of
8 the material misrepresentation;

9 4. When, based on all of the information presented to the
10 Insurance Commissioner, the policyholder appears to have suffered no
11 actual monetary or property loss;

12 5. When a claim is outside the time frames prescribed in
13 applicable law; or

14 6. When a claim has been paid in full prior to any mediation
15 conference held pursuant to this section.

16 E. A claim shall not be eligible for mediation unless it has
17 first been submitted and fully processed through the Oklahoma
18 Insurance Department's consumer complaint program.

19 F. All parties to the mediation must negotiate in good faith to
20 resolve the dispute and must have the authority to immediately
21 settle the claim; however, there is no requirement that the dispute
22 be resolved in mediation. If a written settlement is reached and
23 the policyholder is not represented by an attorney, the policyholder
24 has three (3) business days within which the policyholder may

1 rescind the settlement unless the policyholder has cashed or
2 deposited any check, draft, or other payment made to the
3 policyholder as a result of the settlement. If a settlement
4 agreement is reached and is not rescinded, it shall be binding and
5 act as a release of all specific claims presented in the mediation
6 conference.

7 G. The mediation conference shall be held as scheduled by the
8 dispute resolution program coordinator. Upon application by any
9 party for a continuance, the program coordinator shall, for good
10 cause shown or if neither party objects, grant a continuance and
11 shall notify all parties of the date and place of the rescheduled
12 conference. Good cause also includes severe illness, injury, or
13 other emergency that could not be controlled by the party and could
14 not reasonably be remedied by the party prior to the conference by
15 providing a replacement representative or otherwise. Good cause
16 includes the necessity of obtaining additional information, securing
17 the attendance of a necessary professional, or the avoidance of
18 significant financial hardship. If the policyholder demonstrates to
19 the mediator the need for an expedited mediation conference due to
20 an undue hardship, the conference shall be conducted at the earliest
21 date convenient to all of the parties and the mediator. Undue
22 hardship will be demonstrated when holding the conference on a non-
23 expedited basis would interfere with or contradict the treatment of
24 a severe illness or injury, substantially impair a party's ability

1 to assert their position at the conference, result in significant
2 financial hardship, or other reasonably justified grounds.

3 H. An insurer will be deemed to have failed to appear if the
4 insurer's representative lacks authority to settle the full value of
5 the claim. The authority to settle the claim includes the ability
6 to disburse the full settlement amount within ten (10) days of the
7 conclusion of the conference. The insurer shall produce at the
8 conference a copy of the policy.

9 I. Any violation by an insurer of this section shall subject
10 the insurer to discipline including a civil penalty of not more than
11 Ten Thousand Dollars (\$10,000.00), in addition to any other
12 penalties provided for by law.

13 J. The Insurance Commissioner may adopt and promulgate rules
14 for the implementation and administration of this section,
15 including, but not limited to, the amount and who is responsible for
16 the payment of any fees in the event costs of the program are not
17 fully covered by the Administrative Office of the Courts, and the
18 expansion or restriction of eligibility criteria for claims subject
19 to mandatory and voluntary mediation under this section.

20 SECTION 13. AMENDATORY 36 O.S. 2021, Section 1250.6, is
21 amended to read as follows:

22 Section 1250.6. A. Every property and casualty insurer, within
23 ~~thirty (30)~~ fourteen (14) days after receiving notification of a
24 claim, shall acknowledge the receipt of such notification unless

1 payment is made within such period of time. If an acknowledgement
2 is made by means other than writing, an appropriate notation of such
3 acknowledgement shall be made in the claim file of the property and
4 casualty insurer, and dated. Notification given to an agent of a
5 property and casualty insurer shall be notification to the insurer.
6 The acknowledgment shall include the Homeowner Claims Bill of Rights
7 set forth in Section 14 of this act.

8 B. Every property and casualty insurer, upon receiving
9 notification of a claim, promptly shall provide necessary claim
10 forms, instruction, and reasonable assistance so that first-party
11 claimants can comply with the policy conditions and the reasonable
12 requirements of the property and casualty insurer. Compliance with
13 this ~~paragraph~~ subsection within ~~thirty (30)~~ fourteen (14) days
14 after notification of a claim shall constitute compliance with
15 subsection A of this section.

16 C. Every property and casualty insurer must send the
17 policyholder a copy of any detailed estimate of the amount of the
18 loss within seven (7) days after the estimate is generated by an
19 insurer's adjuster. This subsection does not require that an
20 insurer create a detailed estimate of the amount of the loss if such
21 estimate is not reasonably necessary as part of the claim
22 investigation.

1 SECTION 14. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 1250.6a of Title 36, unless
3 there is created a duplication in numbering, reads as follows:

4 A. An insurer issuing a personal lines residential property
5 insurance policy in this state must provide a Homeowner Claims Bill
6 of Rights to policyholders on the insurer's company website. The
7 purpose of the bill of rights is to summarize, in simple,
8 nontechnical terms, existing Oklahoma law regarding the rights of a
9 personal lines residential property insurance policyholder who files
10 a claim of loss. The Homeowner Claims Bill of Rights is specific to
11 the claims process and does not represent all of a policyholder's
12 rights under Oklahoma law regarding the insurance policy. The
13 Homeowner Claims Bill of Rights does not enlarge, modify, or
14 contravene statutory requirements, including, but not limited to,
15 Sections 1204, 1250.6, 1250.7, and 6202 of Title 36 of the Oklahoma
16 Statutes and OAC 365:1-11, and does not prohibit an insurer from
17 exercising any right to repair damaged property in compliance with
18 the terms of an applicable policy. The Homeowner Claims Bill of
19 Rights must, at a minimum, state:

20 HOMEOWNER CLAIMS BILL OF RIGHTS

21 This Bill of Rights is specific to the claims process and
22 does not represent all of your rights under Oklahoma law
23 regarding your policy. This document does not prohibit an
24 insurer from exercising any right to repair damaged

1 property in compliance with the terms of an applicable
2 policy.

3 YOU HAVE THE RIGHT TO:

4 1. Receive from your insurance company an acknowledgment of
5 your reported claim within fourteen (14) days after the time you
6 communicated the claim.

7 2. Receive from your insurance company within thirty (30) days
8 after you have submitted an executed proof of loss statement to your
9 insurance company, confirmation that your claim is accepted or
10 denied or if further investigation is necessary.

11 3. Receive from your insurance company a copy of any detailed
12 estimate of the amount of the loss within seven (7) days after the
13 estimate is generated by the insurance company's adjuster.

14 4. Receive from your insurance company within sixty (60) days
15 after you have submitted an executed proof of loss statement either:

- 16 a. full settlement payment for your claim or payment of
17 the undisputed portion of your claim,
18 b. denial of your claim, or
19 c. notice that the insurer needs more time to investigate
20 the claim and stating the reasons why.

21 5. If insurer provides notice that it needs more time to
22 investigate the claim, receive from your insurance company within
23 ninety (90) days after you have submitted an executed proof of loss
24 statement either:

- 1 a. full settlement payment for your claim or payment of
2 the undisputed portion of your claim, or
3 b. denial of your claim.

4 In the event of a weather-related catastrophe or a major
5 natural disaster, as declared by the Governor, the
6 Insurance Commissioner may approve a request to extend
7 this deadline an additional twenty (20) days.

8 6. Contact the Oklahoma Insurance Department via telephone or
9 website for assistance with any insurance claim or questions
10 pertaining to the handling of your claim.

11 YOU ARE ADVISED TO:

- 12 1. File all claims directly with your insurance company.
- 13 2. Contact your insurance company before entering into any
14 contract for repairs to confirm any managed repair policy provisions
15 or optional preferred vendors.
- 16 3. Make and document emergency repairs that are necessary to
17 prevent further damage. Keep the damaged property, if feasible,
18 keep all receipts, and take photographs or video of damage before
19 and after any repairs to provide to your insurer.
- 20 4. Carefully read any contract that requires you to pay out-of-
21 pocket expenses or a fee that is based on a percentage of the
22 insurance proceeds that you will receive for repairing or replacing
23 your property.
- 24

1 5. Confirm that the contractor you choose is licensed to do
2 business in Oklahoma. You can verify a contractor's license and
3 check to see if there are any complaints against him or her by using
4 the Oklahoma Construction Industries Board's website. You should
5 also ask the contractor for references from previous work.

6 6. Require all contractors to provide proof of insurance before
7 beginning repairs.

8 7. Take precautions if the damage requires you to leave your
9 home, including securing your property and turning off your gas,
10 water, and electricity, and contacting your insurance company and
11 provide a phone number where you can be reached.

12 B. Any violation of this section shall be a violation of the
13 Unfair Claims Settlement Practices Act, and the Insurance
14 Commissioner may, after notice and opportunity for a hearing,
15 subject an insurer to the civil penalties set forth in Sections
16 1250.13 and 1250.14 of this title, along with any other penalties
17 set forth in applicable law.

18 SECTION 15. AMENDATORY 36 O.S. 2021, Section 1250.7, is
19 amended to read as follows:

20 Section 1250.7. A. Within ~~sixty (60)~~ thirty (30) days after
21 receipt by a property and casualty insurer of properly executed
22 proofs of loss, the first-party claimant shall be advised of the
23 acceptance or denial of the claim by the insurer, or if further
24 investigation is necessary. No property and casualty insurer shall

1 deny a claim because of a specific policy provision, condition, or
2 exclusion unless reference to such provision, condition, or
3 exclusion is included in the denial. A denial shall be given to any
4 claimant in writing, and the claim file of the property and casualty
5 insurer shall contain a copy of the denial. If there is a
6 reasonable basis supported by specific information available for
7 review by the Commissioner that the first-party claimant has
8 fraudulently caused or contributed to the loss, a property and
9 casualty insurer shall be relieved from the requirements of this
10 subsection. In the event of a weather-related catastrophe or a
11 major natural disaster, as declared by the Governor, the Insurance
12 Commissioner may extend the deadline imposed under this subsection
13 an additional twenty (20) days.

14 B. If a claim is denied for reasons other than those described
15 in subsection A of this section, and is made by any other means than
16 writing, an appropriate notation shall be made in the claim file of
17 the property and casualty insurer until such time as a written
18 confirmation can be made.

19 C. Every property and casualty insurer shall complete
20 investigation of a claim within sixty (60) days after notification
21 of proof of loss unless such investigation cannot reasonably be
22 completed within such time. If such investigation cannot be
23 completed, or if a property and casualty insurer needs more time to
24 determine whether a claim should be accepted or denied, it shall ~~se~~

1 notify the claimant in writing within sixty (60) days after receipt
2 of the proofs of loss, giving reasons why more time is needed. ~~If~~
3 ~~the investigation remains incomplete, a property and casualty~~
4 ~~insurer shall, within sixty (60) days from the date of the initial~~
5 ~~notification, send to such claimant a letter setting forth the~~
6 ~~reasons additional time is needed for investigation.~~ Except for an
7 investigation of possible fraud or arson which is supported by
8 specific information giving a reasonable basis for the
9 investigation, the time for investigation shall not exceed ~~one~~
10 ~~hundred twenty (120)~~ ninety (90) days after receipt of proof of
11 loss. Provided, in the event of a weather-related catastrophe or a
12 major natural disaster, as declared by the Governor, the Insurance
13 Commissioner may extend this deadline for investigation an
14 additional twenty (20) days.

15 D. Within the applicable timelines set forth in subsection C of
16 this section, the insurer shall pay or deny such claim. If the
17 insurer's claim payment is less than specified in any insurer's
18 detailed estimate pursuant to subsection C of Section 1250.6 of this
19 title of the amount of the loss, the insurer must provide a
20 reasonable explanation in writing of the difference to the
21 policyholder. Any untimely payment of an initial or supplemental
22 claim or portion of such claim shall bear simple interest at the
23 rate of five percent (5%) per year. Interest begins to accrue from
24 the date the insurer receives notice of the claim. The provisions

1 of this subsection may not be waived, voided, or nullified by the
2 terms of the insurance policy. If there is a right to prejudgment
3 interest, the insured must select whether to receive prejudgment
4 interest or interest under this subsection. Interest is payable
5 when the claim or portion of the claim is paid. Failure to comply
6 with this subsection constitutes a violation of this code. However,
7 failure to comply with this subsection does not form the sole basis
8 for a private cause of action.

9 E. Insurers shall not fail to settle first-party claims on the
10 basis that responsibility for payment should be assumed by others
11 except as may otherwise be provided by policy provisions.

12 ~~E.~~ F. Insurers shall not continue or delay negotiations for
13 settlement of a claim directly with a claimant who is neither an
14 attorney nor represented by an attorney, for a length of time which
15 causes the claimant's rights to be affected by a statute of
16 limitations, or a policy or contract time limit, without giving the
17 claimant written notice that the time limit is expiring and may
18 affect the claimant's rights. Such notice shall be given to first-
19 party claimants and third-party claimants one (1) year after the
20 date of the loss.

21 ~~F.~~ G. No insurer shall make statements which indicate that the
22 rights of a third-party claimant may be impaired if a form or
23 release is not completed within a given period of time unless the
24

1 statement is given for the purpose of notifying a third-party
2 claimant of the provision of a statute of limitations.

3 G. H. If a lawsuit on the claim is initiated, the time limits
4 provided for in this section shall not apply.

5 I. If an insurer denies a homeowner's claim, in whole or in
6 part, based solely on the use of video recordings or photographs of
7 the loss using aerial imaging, including drones, driverless vehicle,
8 or other machine that can move independently or through remote
9 control, the insurer shall establish, if not already existing, a
10 process allowing the insured to appeal such denial within at least
11 thirty (30) days of the insured's receipt of the insurer's full and
12 final determination on the claim. A determination on the appeal
13 shall be completed, and the insured notified, within thirty (30)
14 days of the request of the appeal.

15 SECTION 16. AMENDATORY 36 O.S. 2021, Section 1250.14, is
16 amended to read as follows:

17 Section 1250.14. A. For any violation of the Unfair Claims
18 Settlement Practices Act, the Insurance Commissioner may, after
19 notice and hearing, subject an insurer to a civil penalty of not
20 ~~less than One Hundred Dollars (\$100.00) nor more than Five Thousand~~
21 ~~Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00) for each
22 occurrence. In addition to or in lieu of any fine amount, the
23 Insurance Commissioner may refuse to renew, suspend, put on
24 probation, or revoke an insurer's certificate of authority, license,

1 or any other registration or similar approval to conduct business in
2 Oklahoma issued by the Insurance Commissioner. Such civil penalty
3 may be enforced in the same manner in which civil judgments may be
4 enforced.

5 B. The Insurance Commissioner may also direct the insurer
6 against whom the order was issued to make complete restitution, in
7 the form, manner, and amount and within the time period determined
8 by the Commissioner, to all Oklahoma residents, Oklahoma insureds,
9 and entities operating in Oklahoma damaged by the violation or
10 failure to comply.

11 SECTION 17. AMENDATORY 36 O.S. 2021, Section 3639.1, is
12 amended to read as follows:

13 Section 3639.1. A. No insurer shall cancel, refuse to renew or
14 increase the premium of a homeowner's insurance policy or any other
15 personal residential insurance coverage, which has been in effect
16 more than forty-five (45) days, solely because the insured filed a
17 first claim against the policy or submitted any number of inquiries
18 on the policy.

19 B. No insurer shall cancel, refuse to renew or otherwise
20 terminate, or increase the premium of a homeowner's insurance policy
21 or any other personal residential insurance coverage, including, but
22 not limited to solely, flood insurance, because of a claim that
23 occurred more than five (5) years before the effective date of the
24 policy or renewal for the same property regardless of prior

1 ownership. No insurer shall refuse to underwrite risk for a
2 homeowner's insurance policy or any other personal residential
3 insurance coverage, including, but not limited to solely, flood
4 insurance, because of a claim that occurred more than five (5) years
5 before the date of application.

6 C. The provisions of this section shall not be construed to
7 prevent the cancellation, nonrenewal or increase in premium of a
8 homeowner's insurance policy for the following reasons:

9 1. Nonpayment of premium;

10 2. Discovery of fraud or material misrepresentation in the
11 procurement of the insurance or with respect to any claims submitted
12 thereunder;

13 3. Discovery of willful or reckless acts or omissions on the
14 part of the named insured which increase any hazard insured against;

15 4. A change in the risk which substantially increases any
16 hazard insured against after insurance coverage has been issued or
17 renewed;

18 5. Violation of any local fire, health, safety, building, or
19 construction regulation or ordinance with respect to any insured
20 property or the occupancy thereof which substantially increases any
21 hazard insured against;

22 6. A determination by the Insurance Commissioner that the
23 continuation of the policy would place the insurer in violation of
24 the insurance laws of this state; or

1 7. Conviction of the named insured of a crime having as one of
2 its necessary elements an act increasing any hazard insured against.

3 ~~B.~~ D. An insurer shall give to the named insured at the mailing
4 address shown on a homeowner's policy, a written renewal notice that
5 shall include new premium, new deductible, new limits or coverage at
6 least thirty (30) days prior to the expiration date of the policy.

7 If the insurer fails to provide such notice, the premium,
8 deductible, limits and coverage provided to the named insurer prior
9 to the change shall remain in effect until notice is given or until
10 the effective date of replacement coverage obtained by the named
11 insured, whichever occurs first. If notice is given by mail, the
12 notice shall be deemed to have been given on the day the notice is
13 mailed. If the insured elects not to renew, any earned premium for
14 the period of extension of the terminated policy shall be calculated
15 pro rata at the lower of the current or previous year's rate. If
16 the insured accepts the renewal, the premium increase, if any, and
17 other changes shall be effective the day following the prior
18 policy's expiration or anniversary date.

19 ~~C.~~ E. In the event an insured cancels a homeowner's insurance
20 policy or any other personal residential insurance coverage, written
21 notice shall be provided by the insured to the insurer that provided
22 the coverage being canceled. The notice of cancellation shall
23 provide the date of the cancellation of the policy and the insurer
24

1 shall reimburse the insured for any premiums paid for coverage
2 beyond the date of cancellation of the policy.

3 ~~D.~~ F. An insurer canceling a policy under subsection ~~E~~ E of
4 this section shall not be liable for claims arising after the date
5 of cancellation.

6 G. If an insurer denies a homeowner's claim, in whole or in
7 part, reduces coverage, refuses to issue, or refuses to renew a
8 homeowner's policy based solely on the use of video recordings or
9 photographs of the loss using aerial imaging, including drones,
10 driverless vehicle, or other machine that can move independently or
11 through remote control, the insurer shall establish, if not already
12 existing, a process allowing the homeowner to appeal such denial
13 within at least thirty (30) days of the homeowner's receipt of the
14 insurer's full and final determination on the claim or decision to
15 reduce coverage, refusal to issue, or refusal to renew the
16 homeowner's policy. The insurer's evaluation of an appeal pursuant
17 to this subsection shall include an in-person inspection of the
18 loss. A determination on the appeal shall be completed, and the
19 homeowner notified, within thirty (30) days of the request of the
20 appeal.

21 H. An insurer shall not refuse to issue or refuse to renew a
22 homeowner's policy insuring a residential structure with a roof that
23 is less than fifteen (15) years old solely because of the age of the
24 roof.

1 I. 1. For a roof that is at least fifteen (15) years old, an
2 insurer must allow a homeowner to have a roof inspection performed
3 by an authorized inspector at the homeowner's expense before
4 requiring the replacement of the roof of a residential structure as
5 a condition of issuing or renewing a homeowner's insurance policy.
6 The insurer may not refuse to issue or refuse to renew a homeowner's
7 insurance policy solely because of roof age if an inspection of the
8 roof of the residential structure performed by an authorized
9 inspector indicates that the roof has five (5) years or more of
10 useful life remaining.

11 2. As used in this section, the term "authorized inspector"
12 means an inspector who is approved by the insurer and who is:

- 13 a. a licensed adjuster as defined in Section 6202 of this
14 title,
- 15 b. a licensed home inspector as defined in Section 858-
16 622 of Title 59 of the Oklahoma Statutes,
- 17 c. a building code inspector certified under Section
18 1000.23 of Title 59 of the Oklahoma Statutes,
- 19 d. a registered roofing contractor pursuant to Section
20 1151.3 of Title 59 of the Oklahoma Statutes,
- 21 e. a professional engineer licensed under Section 475.12a
22 of Title 59 of the Oklahoma Statutes, or
- 23 f. a professional architect licensed under Section 46.8a
24 of Title 59 of the Oklahoma Statutes.

1 3. For purposes of this section, a roof's age shall be
2 calculated using the last date on which one hundred percent (100%)
3 of the roof's surface area was built or replaced in accordance with
4 the building code in effect at that time or the initial date of a
5 partial roof replacement with subsequent partial roof builds or
6 replacements that result in one hundred percent (100%) of the roof's
7 surface area being built or replaced.

8 J. For purposes of subsection A of this section, the following
9 definitions shall apply:

10 1. "Claim" means a contact with an insurer by an insured or
11 third party, as an assignee of the policy benefits, for the purpose
12 of seeking payment. A claim shall not include a report of loss by
13 the insured or any subsequent inquiries or inspection of loss if:

14 a. no payment if made,

15 b. the report of loss is withdrawn by the insured, or

16 c. coverage is denied by the insurer; and

17 2. "Inquiry" means a request for information regarding the
18 terms, conditions, or coverages offered under a property and
19 casualty insurance policy that does not result in a claim.

20 SECTION 18. This act shall become effective July 1, 2027.

1 Passed the House of Representatives the 24th day of March, 2026.

2
3
4 Presiding Officer of the House
of Representatives

5
6 Passed the Senate the ____ day of _____, 2026.

7
8 Presiding Officer of the Senate